Pemberton Debt Advisory

Strictly private and confidential

Information Memorandum
Harveyville Healthcare

A$72.0 million senior secured acquisition facility with undrawn capex tranche

Prepared for prospective senior lenders

Prepared by Pemberton Debt Advisory

10 August 2026

Version 1.0, confidential

Reference: PDA/IM/2026/0810-HH

Date: 10 August 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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Target group	Harveyville Healthcare Pty Ltd
ABN	92 207 130 560
Registered office	Level 8, 45 Phillip Street, Parramatta NSW 2150
Sponsor	Ardent Health Partners Fund II, managed by Ardent Health Partners Pty Ltd
Facility requested	A$72.0M senior secured term loan (acquisition facility) with an undrawn capex tranche
Tenor	48 months
Prepared by	Pemberton Debt Advisory
Prepared for	Prospective senior lenders
Date and version	10 August 2026, Version 1.0

Transaction details

1. Important notice

This information memorandum has been prepared by Pemberton Debt Advisory (Pemberton) for a limited group of prospective senior lenders to assist them in deciding whether to submit an indicative commitment to the facility described below. It is confidential and must not be copied or distributed to any other person without Pemberton's written consent.

The memorandum draws on information provided by the management of Harveyville Healthcare Pty Ltd (Harveyville or the Group) and by Ardent Health Partners (Ardent or the Sponsor). Pemberton has not independently verified that information. FY26 financial figures are management figures and remain subject to completion of the audit by Lindqvist Marsh Chartered Accountants. The property and enterprise valuation figures are drawn from preliminary advice from Carrick Whitlam Valuation Advisory Pty Ltd and are subject to the formal report. Pricing and terms are indicative, are not an offer, and remain subject to each lender's credit approval and to final documentation.

2. Executive summary

Ardent Health Partners has agreed to acquire 100% of Harveyville at an enterprise value of A$136.5M under a conditional share sale agreement executed in May 2026. Pemberton is arranging a A$72.0M senior secured term loan with a 48 month tenor to part fund the acquisition and to meet transaction costs of approximately A$1.5M. Sponsor equity of A$66.0M funds the balance. The facility includes an undrawn capex tranche that will support the Group's A$11.4M theatre expansion programme.

Harveyville operates seven private day hospitals in New South Wales, in Parramatta, Penrith, Newcastle, Maitland, Wollongong, Gosford and Orange. The Group provides elective day surgery through 24 operating theatres and 9 procedure rooms, and performs approximately 46,800 procedures a year. In FY26 it generated revenue of A$122.0M and EBITDA of A$19.5M, an EBITDA margin of 16.0%.

Key credit features

- Pro forma net leverage of 3.6x FY26 EBITDA (net debt of A$70.2M) and interest cover of 2.9x.
- Loan to value ratio of 51.4%, measured as the A$72.0M facility against the preliminary independent enterprise valuation of A$140.0M.
- Purchase price equal to 7.0x FY26 EBITDA, and below the preliminary independent valuation by A$3.5M.
- Sponsor equity of A$66.0M, which is 47.8% of total funding.
- A$38.5M of freehold property across three sites, which will be mortgaged to the lenders.
- A broad base of 410 accredited doctors who are not employed by the Group and pay no fixed fee, which keeps the Group's cost base variable.
- Operations spread over seven sites and six surgical specialties, and a payer base weighted to private health insurers and self-funded patients.

Indicative terms in summary

Term	Indicative position
Facility	Senior secured term loan, A$72.0M
Capex tranche	Undrawn, sized against the A$11.4M expansion
Tenor	48 months
Cash margin	3 month BBSW plus 5.50% per annum
Upfront fee	2.00%
Commitment fee	1.00% per annum on undrawn amounts

Summary of indicative pricing and structure, subject to credit approval

3. The transaction and facility request

3.1 Transaction overview

Ardent Health Partners Fund II will acquire all of the shares in Harveyville from its existing shareholders, including its founder, Dr Miriam Calloway. The enterprise value of A$136.5M was negotiated at arm's length and is supported by preliminary advice from Carrick Whitlam Valuation Advisory Pty Ltd indicating an enterprise value of A$140.0M. Completion is conditional on, among other things, the funding described in this memorandum. Brennan Tolliver Corporate Advisory Pty Ltd is financial adviser to the Sponsor and Hartigan Voss Lawyers is legal adviser to the transaction.

3.2 Sources and uses of funds

The facility is drawn in full at completion. Total funding of A$138.0M equals the purchase price of A$136.5M plus transaction costs of A$1.5M.

Sources	A$M	% of total
Senior secured term loan	72.0	52.2%
Sponsor equity (Ardent Health Partners Fund II)	66.0	47.8%
Total sources	**138.0**	**100.0%**

Sources of funds

Uses	A$M	% of total
Acquisition of 100% of Harveyville (enterprise value)	136.5	98.9%
Transaction costs	1.5	1.1%
Total uses	**138.0**	**100.0%**

Uses of funds

3.3 Facility request

Pemberton seeks commitments for a senior secured term loan of A$72.0M with a tenor of 48 months. The borrower is expected to be an Ardent controlled acquisition company, with Harveyville Healthcare Pty Ltd and its subsidiaries acting as guarantors. The borrowing structure will be confirmed in the term sheet.

The facility also includes an undrawn capex tranche. Its quantum will be settled with lenders once the Pellegrino Doyle Quantity Surveyors Pty Ltd report on the A$11.4M expansion programme is available. Leverage and loan to value figures in this memorandum are calculated on the A$72.0M term loan only and exclude any future capex tranche drawings.

Indicative pricing is 3 month BBSW plus a cash margin of 5.50% per annum, a 2.00% upfront fee and a 1.00% per annum commitment fee on undrawn amounts. The repayment profile, any cash sweep and the hedging requirement will be set out in the

term sheet. Pemberton expects the term sheet to require lenders to be satisfied that at least half of drawn debt is hedged for the first 36 months.

4. Borrower and sponsor

4.1 Group history

Harveyville has grown from a single Parramatta day hospital to a seven site network over fourteen years, through a mix of acquisitions and one purpose-built development.

Date	Milestone
March 2012	Dr Miriam Calloway and partners open the first day hospital in Parramatta
July 2017	Acquisition of the Newcastle and Maitland day hospitals, establishing a Hunter region presence
November 2022	Opening of the purpose-built Wollongong day hospital with four operating theatres
May 2024	Completion of the Gosford and Orange acquisitions, bringing the network to seven sites
May 2026	Conditional share sale agreement executed with Ardent Health Partners

Group milestones

4.2 Board and management

- Dr Miriam Calloway, Chair and Non-Executive Director. Founder of the Group.
- Stephen Okonkwo-Hale, Chief Executive Officer and Executive Director.
- Priya Halloran, Non-Executive Director and Ardent Health Partners nominee.

The Group employs approximately 640 full-time equivalent staff. Management is led by Mr Okonkwo-Hale, who has been responsible for the integration of the Gosford and Orange acquisitions. Lenders will be given access to the full management structure and key person arrangements in the data room.

4.3 Sponsor

The acquirer is Ardent Health Partners Fund II, managed by Ardent Health Partners Pty Ltd. The Sponsor is committing A$66.0M of equity, which represents 47.8% of total funding and ranks behind the senior facility. Ardent will appoint a nominee director to the Harveyville board, and Ms Venkataraman fills that role. Further information on the Sponsor, including its investment mandate and the fund's other holdings, will be provided to lenders on request during due diligence.

5. Business overview

5.1 Operations

Harveyville provides elective day surgery to patients who do not require an overnight stay. Services span ophthalmology, gastroenterology, orthopaedics, ENT, plastic and reconstructive surgery, and pain management. The Group's sites are located in Greater Sydney, the Hunter, the Illawarra, the Central Coast and the Central West of New South Wales.

Sites	7
Operating theatres	24
Procedure rooms	9
Procedures per annum	approximately 46,800
Accredited doctors	410
Employees	640 FTE
Theatre utilisation	74%

Operating profile

5.2 Revenue model and practitioners

Revenue is earned from facility fees paid by private health insurers and self-funded patients, with a smaller contribution from Department of Veterans' Affairs patients. Average revenue is approximately A$2,600 per procedure, based on FY26 revenue of A$122.0M and 46,800 procedures.

Visiting medical officers (VMOs) are independent accredited practitioners. They are not employed by the Group and pay no fixed fee to use its facilities. Surgeon fees are billed by the practitioners directly. This arrangement keeps fixed costs low, but it means that procedure volumes depend on the Group continuing to attract and retain surgeons. The top 25 VMOs generate approximately 38% of procedure volumes.

5.3 Property

Three sites are freehold, with a preliminary aggregate value of A$38.5M. Four sites are leased on terms of 8 to 15 years including options. Lenders will receive the lease schedule, including expiry dates, option periods and rent review mechanisms, as part of due diligence.

5.4 Expansion programme

The Group has planned a theatre expansion programme with total capital expenditure of A$11.4M. With theatre utilisation currently at 74%, the programme is intended to add capacity where demand is strongest and to support recruitment of additional surgeons. Pellegrino Doyle Quantity Surveyors Pty Ltd will report on the budget, programme and contingency, and its report is expected on 4 September 2026. The Sponsor expects to fund the programme from the capex tranche and from internally generated cash.

6. Financial profile

6.1 FY26 trading and pro forma credit metrics

FY26 revenue was A$122.0M and EBITDA was A$19.5M, an EBITDA margin of 16.0%. These are management figures. The audit by Lindqvist Marsh Chartered Accountants is expected to be completed with financial statements dated 18 September 2026, and post year-end management accounts are expected on 30 September 2026. Pemberton will update lenders if either differs materially from the figures below.

Metric	Value
FY26 revenue	A$122.0M
FY26 EBITDA	A$19.5M
EBITDA margin	16.0%
Purchase enterprise value	A$136.5M
Purchase price to EBITDA	7.0x
Preliminary independent enterprise value	A$140.0M
Facility limit	A$72.0M
Net debt at completion	A$70.2M
Net leverage (net debt to EBITDA)	3.6x
Loan to value ratio	51.4%
Interest cover (EBITDA to cash interest)	2.9x

Key financial and pro forma credit metrics

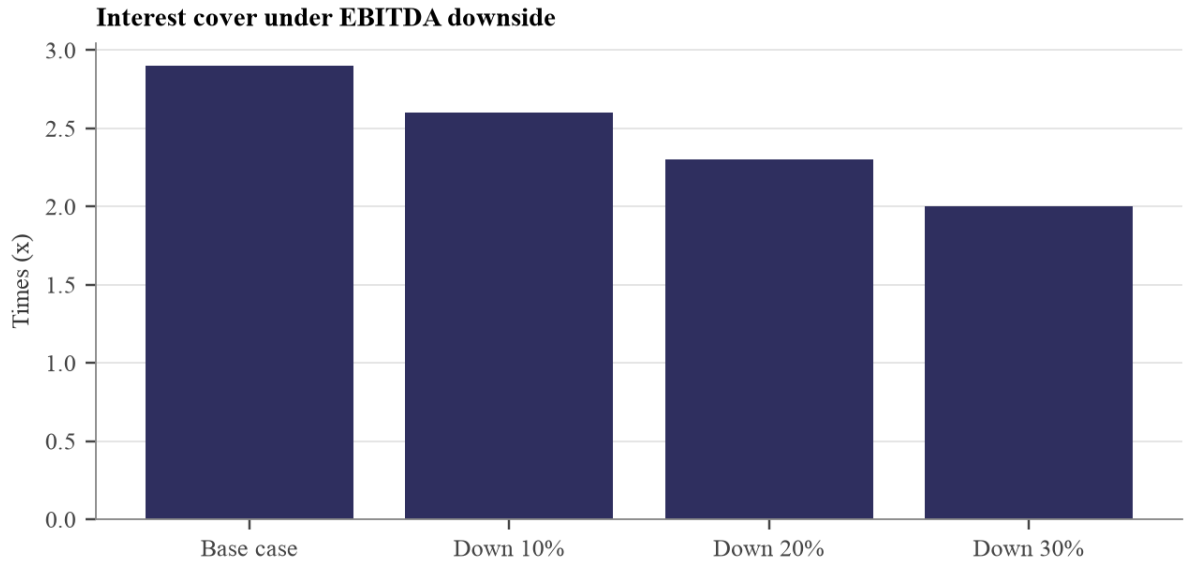
Net debt of A$70.2M is the A$72.0M facility less approximately A$1.8M of cash assumed to be retained in the Group at completion. Interest cover of 2.9x is based on pro forma annual cash interest of approximately A$6.7M, which assumes a 3 month BBSW of about 3.8% plus the 5.50% cash margin on the full A$72.0M. It excludes fees and any hedging cost.

6.2 Sensitivity analysis

The table below tests pro forma credit metrics against lower EBITDA and a higher base rate. Interest is held at A$6.7M for the EBITDA scenarios, and net debt is held at A$70.2M. The final row adds 1.00% to BBSW with no hedging in place.

Scenario	EBITDA (A$M)	Net leverage (x)	Interest cover (x)
Base case	19.5	3.6	2.9
EBITDA down 10%	17.6	4.0	2.6
EBITDA down 20%	15.6	4.5	2.3
EBITDA down 30%	13.7	5.1	2.0
BBSW up 1.00%, base EBITDA	19.5	3.6	2.6

Sensitivity of pro forma credit metrics



Pro forma interest cover at constant cash interest of approximately A$6.7M

Interest cover remains above 2.0x in each EBITDA scenario, but net leverage exceeds 5.0x if EBITDA falls by 30%. Hedging will reduce exposure to the base rate and is proposed as a condition of the facility.

7. Security and valuation

7.1 Proposed security package

- First ranking general security agreement over all present and after acquired property of the borrower and each guarantor.
- First registered mortgages over the three freehold day hospital properties.
- Security over leasehold interests in the four leased sites, supported by landlord consents or acknowledgements where obtainable.
- Share security over the borrower and each Group company.
- Cross guarantees from Harveyville Healthcare Pty Ltd and its subsidiaries.
- Assignment of key insurances, acquisition agreement warranties and indemnities, and the Sponsor's equity commitment documentation.
- Subordination of any shareholder loans to the senior facility.

7.2 Valuation

Carrick Whitlam Valuation Advisory Pty Ltd has given preliminary advice of an enterprise value of A$140.0M for the Group, supporting the loan to value ratio of 51.4%. The preliminary value of the freehold properties is A$38.5M, which is 27.5% of the enterprise value. The balance of enterprise value reflects the operating business, including accreditations, practitioner relationships and insurer agreements, which lenders will rely on through the general security agreement and share security. The formal valuation report is expected on 28 August 2026. Lenders should note that the formal figures could differ from the preliminary advice.

8. Key risks and mitigants

The principal risks are set out below with the mitigants Pemberton expects to be included in the transaction. Lenders should form their own view of each.

Risk	Description	Proposed mitigant
Regulatory and funding	Reliance on insurer rebates and negotiated hospital agreements, with exposure to changes in Medicare Benefits Schedule items and insurer contract terms	Diversified payer base, review of insurer agreements in diligence, leverage covenant
Practitioner concentration	Top 25 VMOs generate approximately 38% of procedure volumes	Practitioner diligence, retention initiatives, key person reporting
Leverage and debt service	Leverage of 3.6x and interest cover of 2.9x leave limited headroom	Financial covenants, hedging requirement, cash sweep
Labour cost and availability	Nursing and anaesthetic shortages may raise agency use and wages, compressing the 16.0% margin	Labour cost reporting, monthly management accounts
Lease and property	Four of seven sites are leased; renewals, rent reviews and freehold yields may move costs and values	Lease review, landlord consents, mortgage security
Expansion execution	The A$11.4M programme could face overruns, delays or slow volume ramp-up	QS report, drawstop conditions on capex tranche, contingency

Key risks and proposed mitigants

8.1 Commentary

Regulatory and funding risk is the most significant sector risk. Day surgery facility fees are largely set through agreements with private health insurers, and changes to rebates or to Medicare Benefits Schedule items could alter volumes or margins. The financial adviser's diligence will review the principal insurer agreements, including term, renewal and termination provisions.

Practitioner concentration is a business model risk. Surgeons are not employed and can move volumes to other facilities. The mitigant lies in the number of accredited doctors (410), the spread of activity across seven sites and six specialties, and the Sponsor's incentive to maintain surgeon relationships. Lenders may request surgeon concentration reporting.

On leverage, the sensitivity analysis shows that a 20% fall in EBITDA would take net leverage to 4.5x. Proposed covenant levels in section 9 are set to preserve a reasonable cushion while giving lenders early warning.

9. Proposed covenants and undertakings

The following are indicative proposals for discussion. Final levels will be set in the term sheet after review of the formal valuation, the FY26 financial statements and the financial model.

Covenant	Indicative level	Opening position
Maximum net leverage	4.5x, reducing over the tenor	3.6x
Minimum interest cover	2.25x	2.9x
Maximum loan to value	To be set after formal valuation	51.4%
Capex tranche drawstop	QS certification and no default	Not applicable

Indicative financial covenants

On the proposed levels, EBITDA could fall by about 20% before the leverage covenant is reached and about 22% before the interest cover covenant is reached, assuming no change in net debt or interest cost.

Other proposed undertakings

- Monthly management accounts and quarterly compliance certificates.
- Annual audited financial statements within 120 days of year end.
- Annual budget and model, including expansion programme tracking.
- Hedging of at least 50% of drawn debt for the first 36 months.
- Restrictions on distributions, additional financial indebtedness, acquisitions and disposals.
- Maintenance of hospital licences, accreditations and insurer agreements.
- Notification of loss of any key insurer agreement or material practitioner departure.

10. Conditions precedent

Conditions precedent to first drawdown are expected to include:

- Final credit approval from each participating lender.
- Completion of the share sale agreement on terms consistent with those disclosed to lenders.
- Receipt of the formal valuation report from Carrick Whitlam Valuation Advisory Pty Ltd, with a satisfactory value and loan to value ratio.
- Receipt of the Pellegrino Doyle Quantity Surveyors Pty Ltd report on the expansion programme.
- Audited FY26 financial statements and post year-end management accounts, consistent with the figures in this memorandum.
- Evidence of the A$66.0M Sponsor equity contribution having been paid.
- Executed security documents, registered mortgages and landlord consents for leased sites, as agreed.
- Legal due diligence report from Hartigan Voss Lawyers and satisfactory insurance review.

- Satisfactory know-your-customer checks and hedging arrangements.

11. Timetable

Date	Event
10 August 2026	Information memorandum released to lenders
28 August 2026	Formal valuation report due
4 September 2026	Quantity surveyor report due
18 September 2026	FY26 financial statements due
30 September 2026	Post year-end management accounts due
12 October 2026	Term sheet issued

Indicative process timetable

Lenders wishing to participate should contact Pemberton to arrange access to the data room and management presentations. Indicative commitments should be provided in writing, stating the amount, any conditions and the lender's expected approval timeline. Pemberton may vary the timetable at its discretion.

12. Advisers and contacts

Role	Firm
Debt adviser and arranger	Pemberton Debt Advisory
Financial adviser to the Sponsor	Brennan Tolliver Corporate Advisory Pty Ltd
Legal adviser	Hartigan Voss Lawyers
Auditor	Lindqvist Marsh Chartered Accountants
Independent valuer	Carrick Whitlam Valuation Advisory Pty Ltd
Quantity surveyor	Pellegrino Doyle Quantity Surveyors Pty Ltd

Transaction advisers

All enquiries about this memorandum should be directed to Pemberton Debt Advisory. Lenders must not contact Harveyville management, employees, practitioners, insurers or landlords about the transaction except through Pemberton.